

literal liquid; the more liquidity an investment type has, the easier it is to ‘swish around’ from one account to another.)

One thing to note about REITs is that they’re more sensitive to interest rates and can drop quickly when rates rise. In some countries such as the US, their dividends are also taxed at a higher rate than the dividends of stocks.

## Hedge funds

Most people, whether they have invested or not, have heard of the mysterious, exclusive hedge fund.

Hedge funds used to really confuse me. The first time I heard of them I thought they were related to hedges or gated communities. Then I felt like maybe they were so hard to get into because they were protected by ‘hedges’. You couldn’t have paid me to guess what a hedge fund did.

Eventually I learned that, in essence, hedge funds are just mutual funds — but on steroids. They are run by investment fund managers who are allowed to make riskier investments on behalf of their investors in the hope that they outperform the market average. This means they get to invest in ways that normal investors don’t always have access to, unless we have a net worth of more than \$1 million.

A hedge fund is still a basket, but rather than a basket just filled with some companies that the fund managers think will do better, it’s filled with shinier, newer, more interesting and riskier products that they hope will do better, such as investing in real estate, derivatives or even currencies, among other ‘riskier’ asset types. If our S&P 500 index fund was a straw basket, a hedge fund is a gold-plated Hermès Birkin bag.

As a result, hedge funds are notoriously expensive to invest in. They also take a whoppingly high cut of profits — 20 per cent. It makes the 1 to 2 per cent cut from mutual fund managers look like pennies. In fact, the top 15 hedge fund managers together earned an estimated \$23.2 billion in 2020 during the COVID pandemic, according to Bloomberg News. The head of Tiger Global Management alone made \$3 billion. Not bad for a pandemic year.